

The Children's Investment Fund – Q2 2009 Report

1. Fund Performance

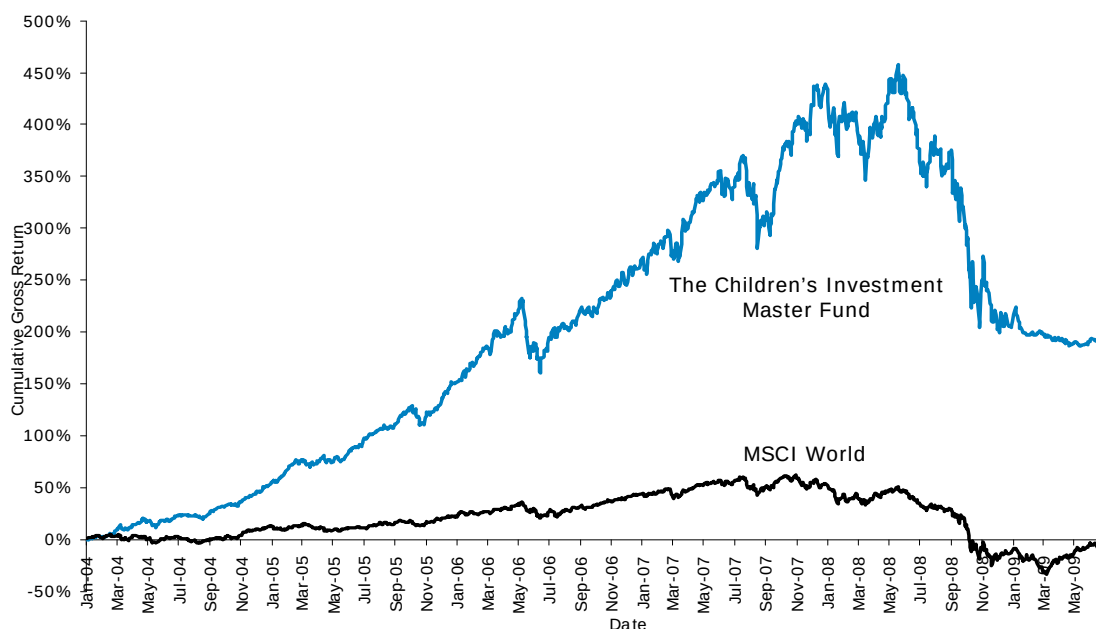
Returns for this period, net of both management and accrued incentive fees for the fund, are shown in the table below:

Period	Master Fund Assets (£m)	Class A (3yr) \$	Class A (3yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Jun 2009	5,668	0.39%	0.42%	0.39%	0.45%	-0.61%
May 2009	5,710	0.26%	0.26%	0.26%	0.26%	8.62%
Apr 2009	6,101	-2.08%	-2.10%	-2.08%	-2.10%	10.90%
Q2 2009		-1.44 %	-1.43 %	-1.44 %	-1.43 %	19.73 %
Q1 2009		-5.35 %	-5.88 %	-5.35 %	-5.88 %	-12.50 %
2009 YTD		-6.71 %	-7.23 %	-6.71 %	-7.23 %	4.76 %
Annualised		+14.99%	+14.20%	n/a	n/a	-1.31%
Inception		+115.60%	+107.55%	n/a	n/a	-6.97%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP.

The Children's Investment Master Fund vs. MSCI World (\$) Since Inception to June End 2009



Notes: Performance for The Children's Investment Master Fund is gross of management and incentive fees and includes dividends reinvested.

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP.

The fund returns for the quarter were approximately -1.4%, taking the 2009 YTD return to -6.7%.

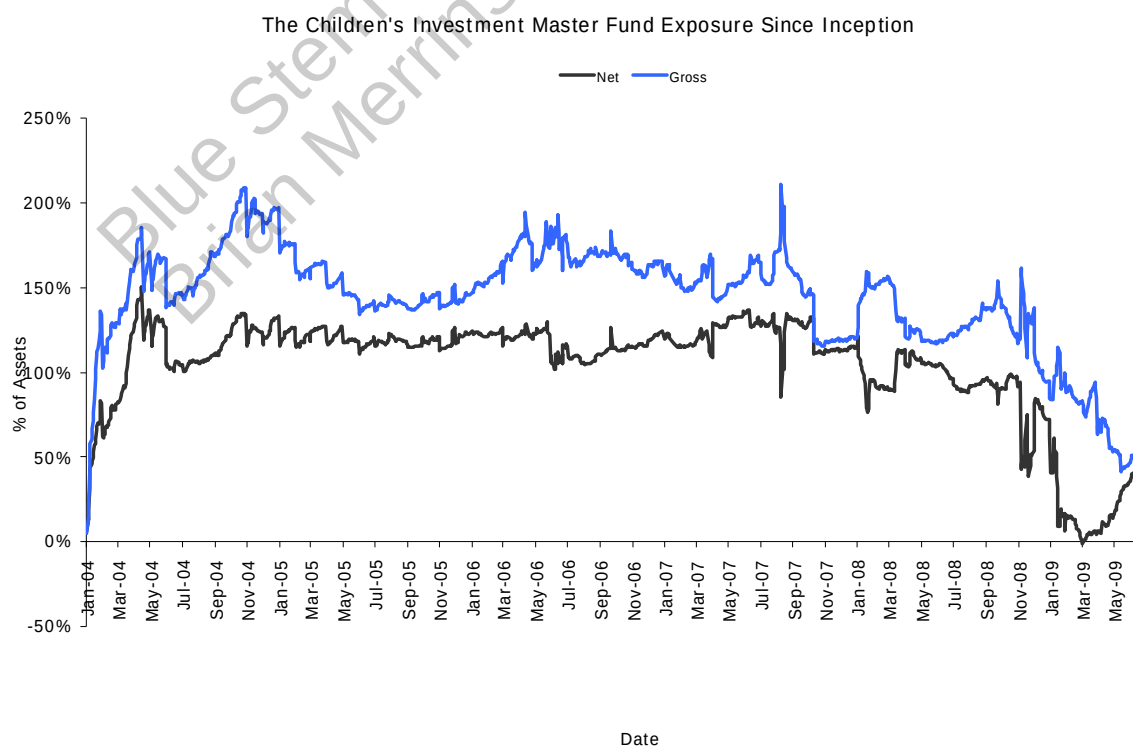
2. Key Fund Data

a. Exposure Summary

As of today the fund is approximately 50% long (44% in equities and 6% in debt) and has almost no short exposure.

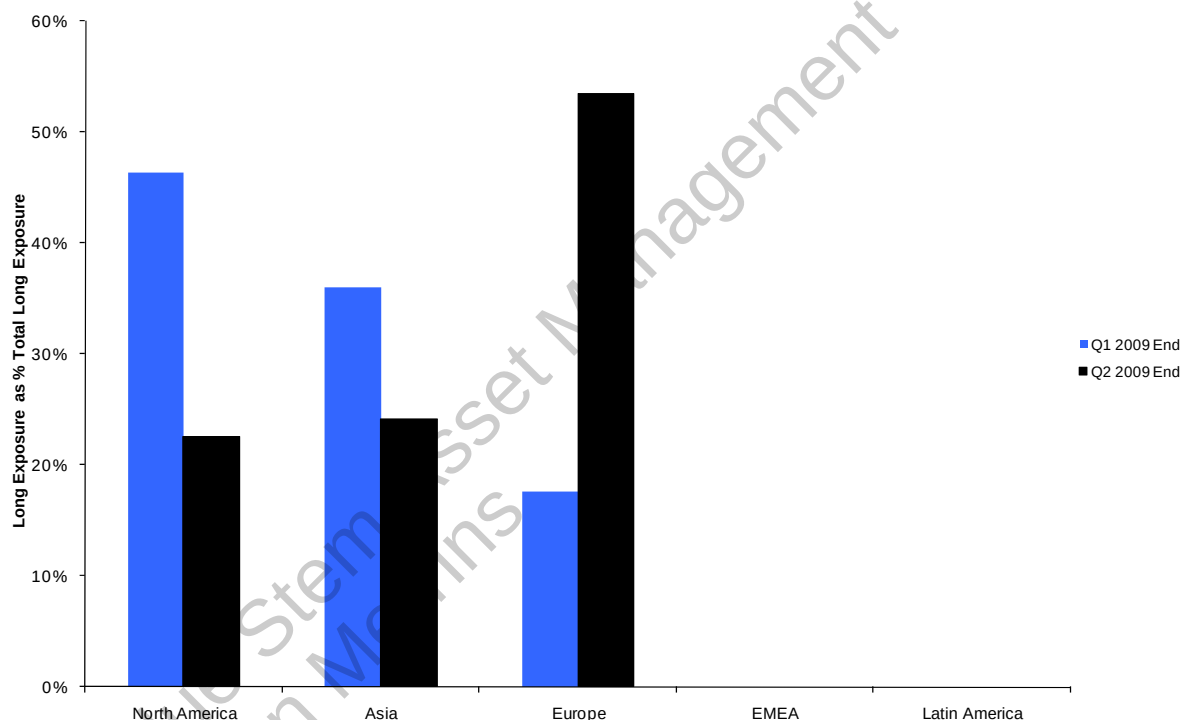
% of Master Fund Net Assets				
Period	Longs	Shorts	Gross	Net
End Jun 2009	52%	-5%	57%	47%
End May 2009	39%	-5%	44%	34%
End Apr 2009	32%	-17%	49%	15%

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP.



Note: Gross and Net figures exclude exposure to US Treasury Bills.

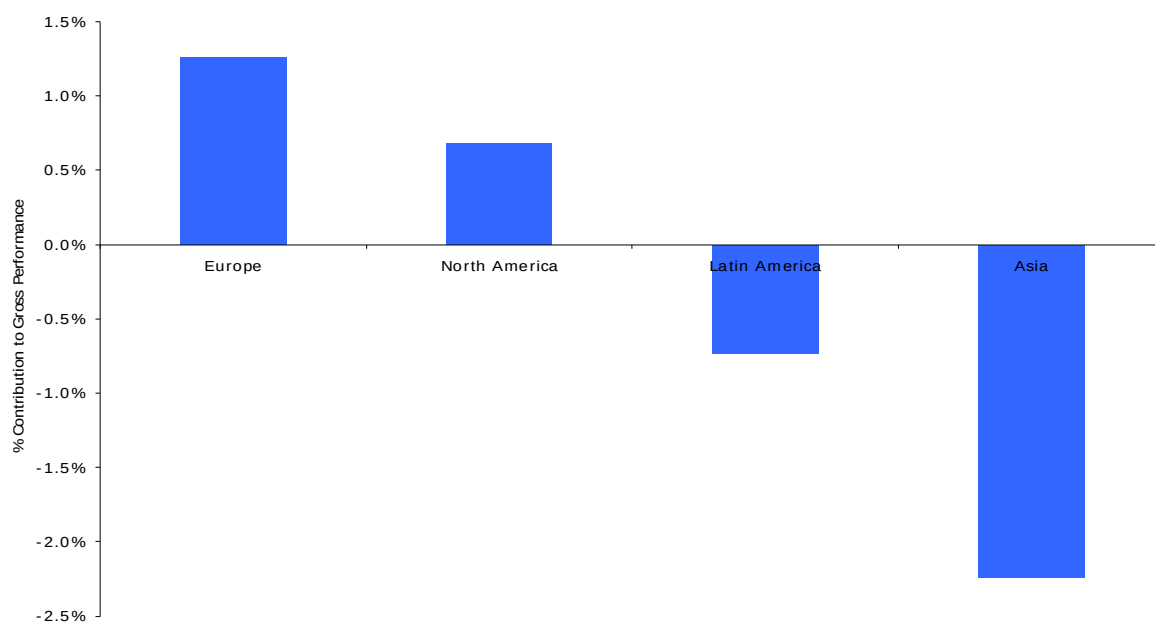
Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP.

b. Q2 2009 vs. Q1 2009 Portfolio Geographical Long Exposure

Notes: Figures are re-based to a total of 100 and are on the long book only. Data ex govt bonds.

EMEA = Emerging Europe, the Middle East and Africa.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP.

c. Q2 2009 Performance Contribution by Geography

EMEA = Emerging Europe, the Middle East and Africa.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP.

The second quarter of 2009 saw Europe and North America as positive contributors to performance, while Asia and Latin America were detractors to it. Our Japanese shorts created significant losses for the fund. We decided to eliminate this book on concerns that a market belief in a cyclical economic recovery would overwhelm our negative structural views on these stocks. In addition announcements of large capital increases did not serve as the catalysts that we had hoped for.

3. Portfolio Review for Q2 2009

Some of our core positions are outlined below in summary form.

BAT

We initiated a position in BAT in the quarter. BAT is the world's second largest cigarette company with a leadership position in more than 50 markets worldwide. In common with other tobacco companies, BAT has strong defensive characteristics but additionally benefits from strong growth by virtue of generating over 60% of operating profit in emerging markets. Unlike Western Europe and the USA, emerging markets continue to experience volume growth, which together with pricing should drive top line growth for the group of 3-4%. Furthermore, BAT has announced a GBP 800m cost saving programme of which around 50% should fall through to profits.

A stable share price combined with underlying earnings growth further boosted by sterling weakness has seen the stock de-rate over the last couple of years from circa 13-14x earnings to 11x earnings and a 6% dividend yield. Company guidance is for EBIT to grow over the long term at around 6% but we believe this guidance largely excludes real price increases. Helped by significant sector consolidation over the last few years, we fully expect the recent positive pricing environment to continue which should enable BAT to exceed their operating profit guidance by several hundred basis points and increase bottom line by close to 10%. With no re-rating of the stock we would expect to generate a long-term high-teen shareholder return.

E.ON

Eon is one of Europe's largest power generation utilities with significant regulated distribution assets and a strong gas pipe-line and supply business. We initiated the position subsequent to a profit-warning in March this year, since when the share price has rebounded approximately 25%. The value case for E.ON remains strong despite current tough trading conditions and the rebound in the share price. We believe the company can sustain €3.0 of earnings per share from 2010 putting it on 8x earnings whereas a fair multiple, in our opinion, would be closer to 11x. Moreover, our earnings number is based on a long-term USD oil price in the mid 50s which, given that every USD10 increase in the oil price adds 10-15% to fair value, provides us with additional optionality.

Unilever

Unilever is a leading consumer staples company with a portfolio of strong leading brands across a wide variety of categories including spreads, ice-cream, tea, deodorants and skin-care. In particular the business is distinguished by a very strong emerging market presence which generates almost 50% of operating profit and has delivered 7% hard-currency sales growth on average over more than a decade. The company has been through a 10-year restructuring plan which has led to a degree of market fatigue but has finally resulted in a much leaner, stronger business. Notwithstanding a tough current operating environment, we believe the new management team at Unilever is set to capitalise on this over the next few years by driving margins beyond 15% while invigorating top line growth to circa 5 % supported by 7-8% growth in emerging markets. Unilever currently trades on an 8% levered

free cash flow yield and in the absence of a re-rating should generate a long term mid-teen shareholder return.

SAP

SAP is the global leader in enterprise software, with a market share more than double that of Oracle, the number two player. Demand for enterprise software is cyclical as evidenced by a 34% reduction in new license sales in Q1 2009. Nevertheless, despite building in a 30% decline in software sales for the full year we believe SAP can keep its bottom line flat by virtue of a highly flexible cost base and a highly resilient maintenance and support business. We believe SAP has an effective lock over its maintenance business and will successfully implement a substantial price increase from 17% to 22% of the upfront software cost over the coming years which should help drive margins up from 25% to 35%. Ignoring a cyclical recovery of new license revenues, we still believe SAP can deliver low double digit earnings growth beyond 2009 but the reality is likely to be much stronger as customers resume their software spending following major deferrals in the current year. SAP currently trades on 15x 2009 earnings compared with a historic rating in excess of 20x.

Nestlé

Nestlé is a leading global food and beverage company, with strong developed world category exposure and a sizeable emerging market business with dominant market shares and distribution assets built up over decades that are difficult to replicate. The product categories span powdered beverages (coffee, chocolate, milk), baby food, nutrition, pet food, confectionary, seasonings and frozen foods. In our view Nestlé is among the highest quality of the consumer staple names trading alongside some of the cheapest and on 13 x forward earnings, at a substantial discount to its average long term multiple of 16-17x. The company has delivered very strong long term performance, which we feel it is well placed to continue given the category and geographic exposures.

Visa

Visa is the world's leading electronic payment network in a highly consolidated market with substantial brand, scale and economic barriers to entry. The economic model is among the most powerful and valuable we have come across, essentially a capex and cost free toll road on global consumer spending. The company takes a very minor share of system economics and we believe there is a material pricing opportunity going forward as the business moves to a for profit model, charging for services previously performed for free under customer ownership. In addition, the rise in plastic penetration continues unabated, both in the US and internationally, and this has provided a meaningful cushion to swings in underlying retail sales.

During the quarter there has been persistent newsflow on actual and potential regulatory interventions in credit card practices and interchange (the fee paid by the merchant to the issuing bank). We believe both will accelerate an already existing trend away from credit cards to debit cards, but following precedents from other markets, will not materially impact the volume of transactions on cards overall. With respect to pricing we feel that both Visa and MasterCard continue to be a very minor share of system economics, below a natural level given their importance to the system, and that similar to other markets where interchange has been regulated, they are well placed to protect their economic model.

On our materially above consensus numbers, the company is on 14x 2010 ex cash, which we consider extremely low for an asset and economic model of this quality.

Coke

Coca-Cola is the leading non-alcoholic beverage company globally. The group has enormous post tax return on net tangible capital of close to 50%, which leads to very valuable organic growth. Around 80% of the group's profits come from outside the US where the company has distribution assets 2-3x the scale of its nearest competitor. Further, around 50% of group profits come from emerging markets, where we feel the company is a very high quality exposure to developing world consumption growth.

The US remains difficult for Coca-Cola and the innovation track record continues to be mostly poor. However with substantial scalability, 'buy vs. build' is highly accretive, Coke Zero has been a very successful launch, and while there are persistent structural and competitive issues in the US, the exposure at sub 20% is low, and the opportunity remains to improve profitability mid-term, potentially with the buy-out of the US bottling group.

Coca-Cola is on 15x forward earnings at a material discount to the 20x historic multiple for the group, and with a clean balance sheet.

Link Reit

Link reported its full year recently which were impressive. Strong rental reversions continue, up 29% YoY vs. low 20s expected, with costs up only marginally driving double digit earnings growth. Dividends were up 13% YoY exceeding last year's growth of 10% as rental reversions were even stronger than last year despite challenging economic conditions. Management continues to execute well and is increasing the scope of its asset enhancement program. Returns on refurbishments are better than guided with 4 out of 5 projects achieving a return on investment above 30%. The number of leases with Turnover Rent more than doubled, 17% of all lease contracts and close to 30% of total revenues. In the next 2 years the asset enhancement projects completed will rise sharply and 45% of leases will expire which gives Link the opportunity to continue to grow their rental revenues. Gearing is still low at 24%, debt to total assets, and Link successfully refinanced HK\$3bn of debt with the majority of its debt at fixed rate. Despite a strong stock price performance this year the stock is still on a 5.5% dividend yield that can grow at double digits for some years.

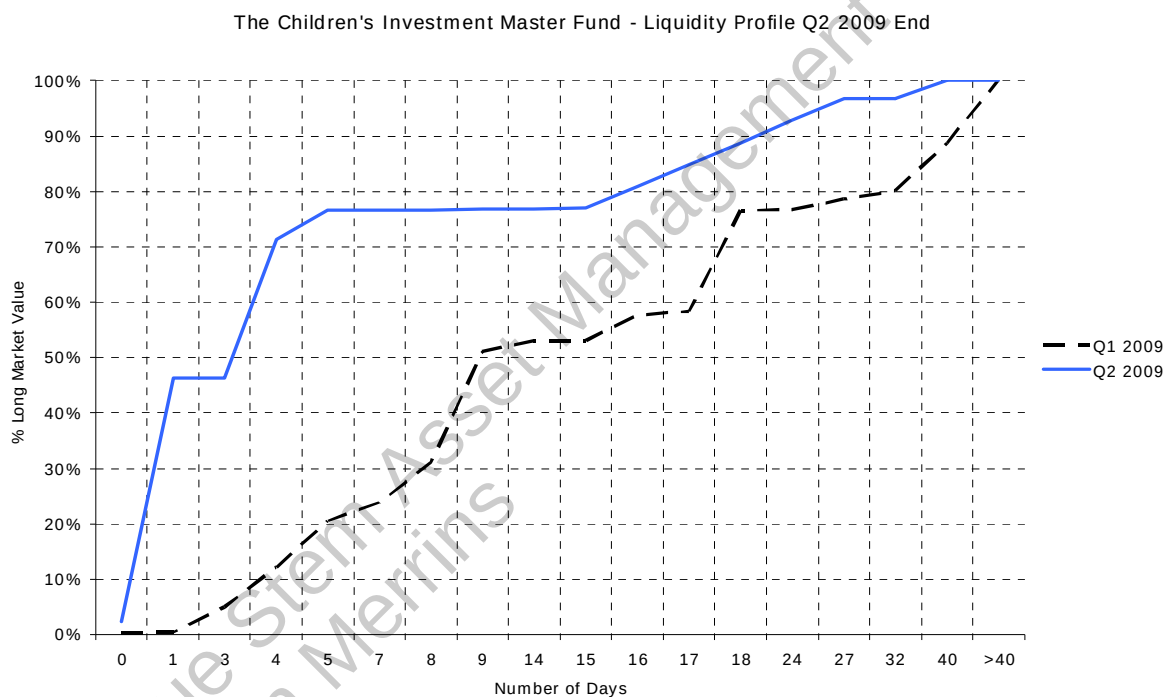
Bonds

Where we can find liquid bonds in strong companies offering a strong equity return we may make investments in this asset class. At the moment approximately 6pc of the fund is invested in bonds.

4. Outlook

We remain sceptical that economies are really going to recover strongly and quickly. Unemployment in Europe and the US will move significantly past 10% and the credit cycle is still in its early stages. Manufacturing and industrial companies continue to show limited signs of improvement in their businesses. However, with interest rates at very low levels if we can find strong companies that can offer predictable 13-15% pa compounding this is attractive relative to interest rates at 3pc or lower. We are actively seeking to increase our invested capital over the coming quarter.

5. Liquidity Analysis



Notes: Liquidity is based on the average three-month trading volume data from Bloomberg assuming 100% of trading. Analysis is based upon long positions only.

Source: Citco Fund Services (Ireland) Limited, The Children's Investment Fund Management (UK) LLP.

The liquidity of the portfolio has materially increased during the quarter which we see as beneficial in many respects.

6. Personnel

Rahul Moodgal, our head of Investor Relations is leaving the firm to pursue other opportunities. Jolanda Niccolini will take on the responsibility as Head of Investor Relations and Business Development with immediate effect, working with Rahul over the next few weeks to ensure a smooth transition of all investor relationships. We thank Rahul for his contribution to the firm and its affiliated managers and wish him best luck for his future venture.

7. Investor Relations

2009 Investor Conference

The investor days for TCI and the TCI affiliates were held during June 2009 in New York. We will be more than happy to send the materials to any investor who was unable to attend.

8. TCI Affiliated Investment Managers

a. Algebris

Algebris currently manages \$1.6bn and is currently open to new investments as the team sees many opportunities in the financials space over the coming 3-6 months.

b. KDA Capital

KDA Capital currently manages approximately \$200m and is open to new investments.

c. Parvus

Parvus currently manages \$2.2bn and is selectively open to new investments.

For information on TCI and its affiliates please contact:

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Christopher Hohn

Managing Partner
July 2009

Appendix 1 – TCI Fund Performance Since Inception

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class B (5yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Jan 2004	375	+1.36%	+1.44%	+1.41%	+1.49%			+1.54%
Feb 2004	532	+5.08%	+5.09%	+5.26%	+5.27%			+1.55%
Mar 2004	554	+2.75%	+2.93%	+2.78%	+2.97%			-0.89%
Q1 2004		+9.44%	+9.73%	+9.71%	+10.01%			+2.20%
Apr 2004	735	+3.70%	+3.88%	+3.77%	+3.92%			-2.22%
May 2004	872	+0.40%	+0.45%	+0.43%	+0.47%			+0.67%
Jun 2004	1,081	+2.82%	+2.86%	+2.90%	+2.93%			+1.91%
Q2 2004		+7.05%	+7.33%	+7.23%	+7.47%			+0.32%
Jul 2004	1,088	-0.24%	-0.20%	-0.24%	-0.20%			-3.34%
Aug 2004	1,114	+0.85%	+0.94%	+0.88%	+0.97%			+0.26%
Sep 2004	1,173	+4.86%	+4.90%	+5.00%	+5.05%			+1.77%
Q3 2004		+5.50%	+5.67%	+5.67%	+5.86%			-1.38%
Oct 2004	1,187	+2.35%	+2.34%	+2.41%	+2.41%			+2.37%
Nov 2004	1,435	+4.93%	+5.09%	+5.31%	+5.24%			+5.09%
Dec 2004	1,589	+6.94%	+6.86%	+7.13%	+7.05%			+3.73%
Q4 2004		+14.85%	+14.93%	+15.54%	+15.37%			+11.59%
2004		+41.95%	+43.04%	+43.65%	+44.39%			+12.84%
Jan 2005	1,960	+6.45%	+6.51%	+6.68%	+6.75%			-2.31%
Feb 2005	2,265	+3.80%	+3.83%	+3.90%	+3.99%			+3.01%
Mar 2005	2,275	-1.07%	-1.04%	-1.07%	-1.09%			-2.17%
Q1 2005		+9.32%	+9.44%	+9.65%	+9.80%			-1.55%
Apr 2005	2,502	-0.02%	-0.05%	-0.02%	-0.05%			-2.39%
May 2005	2,856	+3.46%	+3.46%	+3.59%	+3.59%			+1.52%
Jun 2005	3,271	+6.15%	+6.15%	+6.35%	+6.34%			+0.71%
Q2 2005		+9.80%	+9.77%	+10.14%	+10.10%			-0.21%
Jul 2005	3,624	+4.47%	+4.41%	+4.61%	+4.54%			+3.43%
Aug 2005	3,754	+2.03%	+1.88%	+2.08%	+1.94%			+0.56%
Sep 2005	4,055	+7.11%	+7.03%	+7.31%	+7.23%			+2.47%
Q3 2005		+14.17%	+13.86%	+14.59%	+14.27%			+6.57%
Oct 2005	4,050	-3.68%	-3.80%	-3.77%	-3.90%			-2.49%
Nov 2005	4,605	+5.06%	+5.06%	+5.20%	+5.19%			+3.14%
Dec 2005	5,421	+7.92%	+7.72%	+8.12%	+7.91%			+2.14%
Q4 2005		+9.21%	+8.86%	+9.45%	+9.08%			+2.73%
2005		+49.66%	+48.90%	+51.48%	+50.68%			+7.56%
Jan 2006	5,782	+6.38%	+6.10%	+6.61%	+6.32%			+4.41%
Feb 2006	6,012	+3.97%	+4.15%	+4.12%	+4.05%			-0.29%
Mar 2006	6,809	+3.72%	+3.27%	+3.84%	+3.63%	+3.65%	+3.44%	+1.96%
Q1 2006		+14.71%	+14.11%	+15.26%	+14.64%	+3.65%	+3.44%	+6.14%
Apr 2006	7,183	+5.91%	+5.64%	+6.10%	+5.82%	+5.80%	+5.54%	+2.87%
May 2006	6,225	-9.18%	-9.11%	-9.64%	-9.39%	-9.56%	-9.57%	-3.72%
Jun 2006	6,767	+3.38%	+3.27%	+3.71%	+3.39%	+3.96%	+3.93%	-0.18%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.87%	-0.53%	-0.81%	-1.13%
Jul 2006	7,495	+3.75%	+3.61%	+3.87%	+3.72%	+3.68%	+3.54%	+0.55%
Aug 2006	7,828	+3.71%	+3.50%	+3.83%	+3.60%	+3.37%	+3.43%	+2.38%
Sep 2006	7,843	+0.03%	-0.12%	+0.03%	-0.12%	+0.00%	-0.12%	+1.07%
Q3 2006		+7.63%	+7.11%	+7.88%	+7.32%	+7.17%	+6.96%	+4.05%
Oct 2006	8,307	+4.01%	+3.88%	+4.13%	+3.99%	+3.72%	+3.29%	+3.61%
Nov 2006	8,615	+3.04%	+2.93%	+3.13%	+3.01%	+2.99%	+2.88%	+2.27%
Dec 2006	8,945	+5.63%	+5.53%	+5.78%	+5.69%	+5.54%	+5.44%	+1.95%
Q4 2006		+13.21%	+12.84%	+13.60%	+13.22%	+12.74%	+12.05%	+8.02%
2006		+38.99%	+36.76%	+40.45%	+38.08%	+24.57%	+22.97%	+17.95%
Jan 2007	9,460	+2.05%	+1.99%	+2.12%	+2.05%	+2.05%	+1.99%	+1.12%
Feb 2007	9,474	-1.25%	-1.27%	-1.29%	-1.31%	-1.25%	-1.27%	-0.65%
Mar 2007	10,145	+6.78%	+6.63%	+7.02%	+6.86%	+6.78%	+6.63%	+1.59%
Q1 2007		+7.61%	+7.37%	+7.88%	+7.62%	+7.61%	+7.37%	+2.06%
Apr 2007	10,762	+4.99%	+4.81%	+5.17%	+4.98%	+4.99%	+4.81%	+4.21%
May 2007	11,151	+4.38%	+4.30%	+4.52%	+4.46%	+4.38%	+4.30%	+2.47%
Jun 2007	10,971	-2.34%	-2.43%	-2.41%	-2.51%	-2.34%	-2.43%	-0.90%
Q2 2007		+7.02%	+6.67%	+7.27%	+6.91%	+7.02%	+6.67%	+5.82%
Jul 2007	11,056	+0.98%	+0.86%	+1.02%	+0.89%	+0.98%	+0.86%	-2.28%
Aug 2007	10,123	-5.97%	-6.14%	-6.16%	-6.35%	-5.97%	-6.14%	-0.27%
Sep 2007	11,308	+9.24%	+8.85%	+9.56%	+9.16%	+9.24%	+8.85%	+4.61%
Q3 2007		+3.73%	+3.04%	+3.86%	+3.13%	+3.73%	+3.04%	+1.95%

Private and Confidential

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class B (5yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Oct 2007	12,048	+8.13%	+8.03%	+8.37%	+8.31%	+8.13%	+8.03%	+2.99%
Nov 2007	12,263	+3.62%	+3.55%	+3.72%	+3.67%	+3.62%	+3.55%	-4.24%
Dec 2007	12,643	+2.79%	+2.76%	+2.86%	+2.86%	+2.79%	+2.76%	-1.37%
Q4 2007		+15.17 %	+14.95 %	+15.62 %	+15.50 %	+15.17 %	+14.95 %	-2.74 %
2007		+37.59 %	+35.66 %	+38.97 %	+37.04 %	+37.59 %	+35.66 %	+7.09 %
Jan 2008	11,239	-6.24%	-6.38%	-6.24%	-6.60%	-6.24%	-6.38%	-7.71%
Feb 2008	10,714	-2.70%	-2.56%	-2.70%	-2.65%	-2.70%	-2.56%	-0.74%
Mar 2008	10,187	-1.05%	-0.83%	-1.05%	-0.86%	-1.05%	-0.83%	-1.25%
Q1 2008		-9.73 %	-9.54 %	-9.73 %	-9.86 %	-9.73 %	-9.54 %	-9.53 %
Apr 2008	12,073	+8.37%	+8.61%	+8.37%	+8.91%	+8.37%	+8.61%	+4.98%
May 008	12,709	+3.30%	+3.38%	+3.30%	+3.50%	+3.30%	+3.38%	+1.11%
Jun 2008	10,922	-12.96%	-12.68%	-12.96%	-13.12%	-12.96%	-12.68%	-8.10%
Q2 2008		-2.56 %	-1.96 %	-2.56 %	-2.07 %	-2.56 %	-1.96 %	-2.45 %
Jul 2008	11,233	+1.81%	+2.02%	+1.81%	+2.09%	+1.81%	+2.02%	-2.53%
Aug 2008	11,639	-2.60%	-2.46%	-2.60%	-2.54%	-2.60%	-2.46%	-1.60%
Sep 2008	10,257	-14.88%	-15.08%	-14.88%	-15.61%	-14.88%	-15.08%	-12.08%
Q3 2008		-15.59 %	-15.49 %	-15.59 %	-16.04 %	-15.59 %	-15.49 %	-15.67 %
Oct 2008	9,763	-13.39%	-14.41%	-13.39%	-14.91%	-13.39%	-14.41%	-19.04%
Nov 2008	8,685	-9.67%	-9.78%	-9.67%	-10.12%	-9.67%	-9.78%	-6.72%
Dec 2008	7,093	-2.06%	-2.16%	-2.06%	-2.24%	-2.06%	-2.16%	3.06%
Q4 2008		-23.38 %	-24.45 %	-23.38 %	-25.24 %	-23.38 %	-24.45 %	-22.18 %
2008		-43.11 %	-43.37 %	-43.11 %	-44.59 %	-43.11 %	-43.37 %	-42.08 %
Jan 2009	7,422	-4.51%	-4.80%	-4.51%	-4.97%	-4.51%	-4.80%	-8.85%
Feb 2009	7,371	0.53%	0.56%	0.53%	0.57%	0.53%	0.56%	-10.49%
Mar 2009	6,855	-1.40%	-1.68%	-1.40%	-1.73%	-1.40%	-1.68%	7.23%
Q1 2009		-5.35 %	-5.88 %	-5.35 %	-6.08 %	-5.35 %	-5.88 %	-12.50 %
Apr 2009	6,101	-2.08%	-2.10%	-2.08%	-2.17%	-2.08%	-2.10%	10.90%
May 2009	5,710	0.26%	0.26%	0.26%	0.27%	0.26%	0.26%	8.62%
Jun 2009	5,668	0.39%	0.42%	0.39%	0.43%	0.39%	0.42%	-0.61%
Q2 2009		-1.44 %	-1.43 %	-1.44 %	-1.48 %	-1.44 %	-1.43 %	19.73 %
2009 YTD		-6.71 %	-7.23 %	-6.71 %	-7.48 %	-6.71 %	-7.23 %	4.76 %
Annualised		+14.99%	+14.20%	+15.92%	+14.55%	n/a	n/a	-1.31%
Inception		+115.60%	+107.55%	+125.38%	+111.13%	n/a	n/a	-6.97%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.

Source: Citco Fund Services (Ireland) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP.